

DEBT & EQUITY

Zucker's \$186M Asbury Park Loan Shows Construction Debt Is Back, But Only for Proven Sponsors

Madison Realty Capital's bet on Lido Asbury Park reveals a narrow window for condo financing at the Jersey Shore.

July 17, 2026 · The Real Deal · 4 min read

A source-grounded Light Tower Insight. The complete note follows.

The conventional reading of Ralph Zucker's \$186 million construction loan for Lido Asbury Park is that luxury condo development on the Jersey Shore has momentum. A penthouse sold for \$7.6 million in July 2025, a state record. The lender is Madison Realty Capital, a private credit shop that has been active through the rate cycle. The borrower is a developer with a marquee repositioning in Chicago. The headline writes itself.

But the more revealing fact is that this loan exists at all. Construction financing for for-sale residential has been among the hardest capital to source since the regional banking crisis of 2023. Banks that dominated the space pulled back. Syndicated construction loans became rare. The lenders still writing construction debt are private credit firms that underwrite sponsor quality, pre-sales, and basis with a rigor that most bank credit committees never demanded.

Madison Realty Capital is not making a broad bet on Asbury Park. It is making a specific bet on Zucker, on the basis at 1201 Ocean Avenue North, and on a capital stack that can survive a construction timeline that runs into 2027. The loan is a vote of confidence in a single project, not a signal that construction debt is widely available again.

The project will deliver 112 for-sale units, ground-floor retail, and an amenity package that includes a pool, spa, fitness center, and private park. Corcoran Sunshine Marketing Group is handling sales. The building sits on the Asbury Park beachfront promenade with ocean views and direct boardwalk access. Those details matter because they define the buyer demographic: discretionary, high-net-worth, and willing to pay a premium for location and finish. That is the only segment of the for-sale market where construction lenders are currently willing to take entitlement and completion risk.

Meridian Capital Group's David Bollag and James Darling arranged the financing. Meridian is a debt advisory firm that has been active in the construction lending space, and its involvement suggests a competitive process. Madison Realty Capital won the mandate, which means its terms—rate, hold period, recourse, and advance rate—were more attractive than what other private credit lenders or a syndicate of smaller banks could offer.

Zucker's track record is the critical variable. His firm, Inspired by Somerset Development, bought the former AT&T headquarters in Hoffman Estates, Illinois, for \$21 million in 2019, a fraction of its \$338 million peak price, and turned it into Bell Works Chicagoland, a 1.2-million-square-foot mixed-use community. That deal demonstrated the ability to execute a complex repositioning, manage municipal relationships, and create value from a distressed basis. Lenders remember that. In a market where construction debt is scarce, a sponsor with a proven large-scale repositioning carries disproportionate weight.

The loan also reveals something about Madison Realty Capital's strategy. The firm has been one of the most active private credit lenders in the New York metropolitan area, writing construction and bridge loans on multifamily, condo, and mixed-use projects. It has the balance sheet to hold loans through completion and the underwriting discipline to say no. Its willingness to finance Lido Asbury Park suggests that the project's pre-sales, sponsor equity, and projected exit pricing met a threshold that most other projects cannot reach.

What the market should test next is whether this loan is an outlier or the beginning of a pattern. If other developers with comparable track records and project quality can secure construction financing at similar scale, then the construction lending market is thawing. If this remains an isolated transaction, then the capital is still concentrated around a narrow set of sponsors and assets.

The open question is how much pre-sales Madison Realty Capital required. Construction lenders typically demand that a developer have a certain percentage of units under contract before funding vertical construction. The source does not disclose that number. If the pre-sales threshold was high, it suggests that the lender is protecting itself against absorption risk in a market where luxury condo buyers have options. If the threshold was low, it suggests that Madison Realty Capital is betting on Zucker's ability to sell units during construction, which carries more execution risk.

For owners and developers watching this deal, the lesson is not that construction debt is back. It is that construction debt is available to sponsors who have a defensible basis, a credible track record, and a project that targets the top of the demand curve. Everyone else is still waiting.

The loan does not prove that the Jersey Shore luxury condo market has recovered. It proves that one developer, one lender, and one project found terms that worked. That is a data point, not a trend. The next test will be whether a second and third project can replicate the structure.

SOURCES

— The Real Deal —

<https://therealdeal.com/new-york/tristate/2026/07/16/ralph-zuckers-asbury-park-luxury-condos-snag-186m-loan/>

LIGHT TOWER GROUP